

Nominal Returns 1973-2013	T-Bills	Bonds	Stocks	60 /40	Global 60/40
Returns	5.27%	7.74%	10.21%	9.60%	10.02%
Volatility	0.97%	8.43%	15.57%	10.20%	9.90%
Sharpe	0.00	0.29	0.32	0.42	0.48
Max Drawdown	0.00%	-15.79%	-50.95%	-29.28%	-35.20%

Real Returns 1973-2013	T-Bills	Bonds	Stocks	60 /40	Global 60/40
Returns	0.99%	3.34%	5.71%	5.13%	5.54%
Volatility	1.24%	8.73%	15.74%	10.46%	10.14%
Sharpe	0.00	0.27	0.30	0.39	0.45
Max Drawdown	0.00%	-44.75%	-54.12%	-39.35%	-36.74%

Real Returns 1973-1981	T-Bills	Bonds	Stocks	60 /40	Global 60/40
Returns	-0.71%	-5.08%	-3.92%	-4.05%	-2.09%

Real Returns 1982-2013	T-Bills	Bonds	Stocks	60 /40	Global 60/40
Returns	1.48%	5.85%	8.61%	7.88%	7.80%

Real Returns 1973-2013	T-Bills	Bonds	Stocks	60 /40	Global 60/40
1970s	-1.55%	-4.23%	-5.26%	-4.56%	-1.98%
1980s	3.81%	7.22%	11.67%	10.28%	11.37%
1990s	1.95%	4.87%	14.71%	10.89%	8.88%
2000s	0.19%	3.92%	-3.38%	-0.04%	1.67%
2010s	-1.82%	2.17%	13.73%	9.44%	6.36%
Volatility	2.38%	4.33%	9.78%	7.05%	5.41%

Source: Global Financial Data

There is no reason, however for investors to focus exclusively on stocks and bonds. Would increasing amounts of granularity with additional asset classes help when looking at building a diversified portfolio? In this book, we are going to examine 13 assets and their returns since 1973. They are found in Figure 20 below with a column denoting what broad category of assets they fall under.